Anti-Discrimination in the Blackbox of AI Employment Tools: A Comparison between European Union and New York Regulatory Mechanisms

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Written by: Tan Wanting Megan

Disclaimer: Chat GPT was not used in the writing of this research paper.

I. Introduction

"When can I talk to a real human?" one job applicant exclaimed. For the average job applicant, weeks or even months after submitting an online application are spent completing all sorts of assessments on digital platforms. Only after getting through this digital obstacle course do they finally speak to a person.

This paper aims to critically evaluate the regulatory mechanisms adopted in the New York Law 2021/144 ("**NY Law**") and the European Union ("**EU**") AI Act ("**AIA**") to regulate Artificial Intelligence Employment Tools ("**AIETs**") based on how effectively they safeguard equal employment opportunities. These laws have been forerunners in regulating the AIET market that was previously neglected by regulators.[1]

Focus will be on the main mechanisms used in the two regulations to eliminate discrimination. In reality, these mechanisms are closely intertwined, however, they will be analysed separately in the interest of clarity. I contend that for AIET regulations to effectively act as a bulwark for equal employment opportunities, they should (1) incorporate both outcome and governance-focused approaches, (2) increase specificity for outcome-focused approaches while being more flexible for governance-focused approaches, (3) mandate external audits and (4) ensure clarity in its scope of application.

II. What are AIETs?

While algorithms have long infiltrated the hiring process, AI poses unique circumstances. Unlike algorithms that are deterministic mappings from a set of input to output values provided by the employer, AI uses training data to discover what characteristics should be used to predict the target variable.[2]

AI has quickly infiltrated the hiring sphere. An industry survey found that 55% of human resource management leaders in the United States use AIETs.[3] AIETs are used at almost every stage of the recruitment process. Upon application, an AIET scans and ranks the applicant's resume, using text mining to identify the specific words which are correlated with better performance.[4] The AIET might also analyse the results of applicants' personality test or game-based assessments. Then, a handful of applicants are invited to a video interview, during which their responses are analysed with natural language processing and, more disturbingly, their facial features might be used to draw correlations to employability.[5]

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[1] Although other less encompassing or upcoming regulations should also be noted, such as the Talent Equity for Competitive Hiring Act in California and the Illinois AI Video Interview Act.

[2] Fuchs, L. (2023). Hired by a Machine: Can a New York City Law Enforce Algorithmic Fairness in Hiring Practices? 28 Fordham Journal of Corporate & Financial Law 185, 190-190.

[3] Creel, K., & Hellman, D. (2021). The Algorithmic Leviathan: Arbitrariness, Fairness, and Opportunity in Algorithmic Decision Making Systems. Virginia's Public Law and Legal Theory Research Paper Series, 191–191. https://doi.org/10.1145/3442188.3445942

[4] Köchling, A. & Wehner, M. (2020). Discriminated by an Algorithm: A Systematic Review of Discrimination and Fairness by Algorithmic Decision-Making in the Context of HR Recruitment and HR Development. German Academic Association for Business Research, vol. 13(3), 832-833.

[5] Engler, A. (n.d.). Outside auditors are struggling to hold AI companies accountable. Fast Company. https://www.fastcompany.com/90597594/ai-algorithm-auditing-hirevue

Employers turn to these hiring tools as are both cost-effective and efficient amidst the dramatic rise in online applications.[6] One report even indicates that companies using AIETs show 18% higher revenue and 30% greater profitability.[7]

III. Threat that AIETs pose to the right to equal employment opportunities

A. Legal and moral issues surrounding hiring

As an antecedent issue, I posit that even if AIETs offer improvements to the recruitment process, it merits legal oversight especially when decision-making can potentially limit access to a livelihood[8]. Hence, the efficacy of AIETs is secondary to the scope of this paper.

AIETs act as modern gatekeepers to economic opportunities.[9] Unfair hiring decisions, can pose legal and moral threats to the bedrock legal right to equal employment opportunities which is enshrined in both the United States, based on the right to be hired free of discrimination,[10] and EU, based on the right of equal treatment[11]. Indeed, their influence is already manifesting in legal actions being taken against providers by applicants who have felt discriminated against.[12]

As a starting point, isolated arbitrary hiring decisions without more are not legally or morally suspect – employers are generally not obliged to act in the best interest of the applicant or society.[13] Employers also have wide discretion to discern "cultural fit".[14] However, what is legally and morally objectionable are hiring decisions which hinge whether a qualified applicant belongs to a protected class even if this is

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[6] Amog, G. Traditional Recruiting Isn't Enough: How AI Is Changing the Rules in the Human Capital Market. Forbes. https://www.forbes.com/sites/groupthink/2018/02/09/traditional-recruiting-isnt-enough-how-ai-is-changing-the-rules-in-the-human-capital-market/?sh=11521e21274a

[7] Moulton, D.& Erickson, R. Using Talent Acquisition to Drive Critical Talent Result. Deloitte Reports. https://www2.deloitte.com/content/dam/Deloitte/us/Documents/human-capital/us-hc-using-talent-acquisition-to-drive-critical-talent-results.pdf

[8] See Section III.B for a discussion on the threats that AIETs pose to equal employment opportunities.

[9] Yang, J. (2020). Ensuring a Future That Advances Equity in Algorithmic Employment Decisions, Statement before the Civil Rights and Human Services Subcomm on Education and Labour.

[10] Your Rights. U.S. Equal Employment Opportunity Commission Official Government Website. https://www.eeoc.gov/youth/your-rights.

[11] Equal Treatment at Work. Your Europe EU Official Website. https://europa.eu/youreurope/citizens/work/work-abroad/equal-treatment-with-nationals/index_en.htm#:~:text=Equal%20treatment%20at%20work,-On%20this%20page&text=What%20types%20of%20discrimination%20are%20you%20protected%20against%3F&text=As%20an%20EU%20citizen%20you,training%2C%20occupational%20pensions%20and%20dismissal.

[12] See Harwell, D. Rights group files federal complaint against AI-hiring firm HireVue, citing 'unfair and deceptive' practices. Washington Post. https://www.washingtonpost.com/technology/2019/11/06/prominent-rights-group-files-federal-complaint-against-ai-hiring-firm-hirevue-citing-unfair-deceptive-practices/. See also Opfer, C. AI Hiring Could Mean Robot Discrimination Will Head to Courts. Bloomberg Law. https://news.bloomberglaw.com/daily-labor-report/ai-hiring-could-mean-robot-discrimination-will-head-to-courts.

[13] *Supra* note 4, at 8.

[14] Ajunwa, I. (2020). The Paradox of Automation as Anti-Bias Intervention. Cardozo Law Review, 1712-1712.

positively correlated with their competency.[15] While direct discrimination can be curbed by banning data on protected traits from applications, it does not curb an equally concerning but more insidious issue is indirect discrimination where an unanticipated proxy trait is used by the AI to identify a protected trait.[16] One example is whether an applicant went to a catholic school would imply their religion, a protected trait. Therefore, although singular irrational decisions are not in themselves problematic, it might smoke out instances of direct and indirect discrimination allowing employers to disguise them as decisions of "cultural fit".[17]

In the context of AIETs, another morally and legally problematic factual circumstance arises – systematic arbitrariness. AIETs which are used across various employers might identify a set of features that ostensibly indicate a lack of competence even if this does not generalise beyond the training data. While a singular arbitrary decision is of less concern, systematically depriving a group of people of any employment opportunities across different employers is morally concerning.[18] This is also legally suspect if the people affected by such systematic biases are members of a group protected by anti-discrimination law.

B. Reasons these issues arise specifically for AIETs

AIETs threaten the fundamental right to equal employment opportunities due to biases from (1) society and (2) technology. First, biases that in broader social contexts seep into AIETs.[19] Most plainly, bias can be found in the training data which is based on past hiring decisions and evaluations of top performers reinforcing harmful stereotypes against historically underrepresented groups.[20] Additionally, bias can enter through the design of AI models that select variables. Even if AIETs explicitly ignore protected traits, indirect discrimination might still arise since probative data can be tainted by past biased decisions. Second, bias can also arise from AI technology itself. One of the core challenges to machine learning is the difficulty of ensuring that the model learns neither too little nor too much.[21] A model that "overfits" by memorising random correlations that are derived from data patterns in the training data but fail to generalise beyond the context[22] and are brittle and incomprehensible to humans[23]. This results in systematic arbitrariness since groups of people with irrational red-flagged characteristics might be excluded from employment opportunities.

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[15] Hellman, D. (2008). When is Discrimination Wrong? University of Chicago Press Journal.

[16] Blaschke, F. (2020). The legality of Artificial Intelligence used in Recruitment under EU anti-discrimination and data protection regulations. Tilburg University at 21.

[17] See for example *City of Richmond v. J.A. Croson Co*., 488 U.S. 469, 493 (1989) ("the purpose of strict scrutiny is to 'smoke out' illegitimate uses of race by assuring that the legislative body is pursuing a goal important enough to warrant use of a highly suspect tool. The test also ensures that the means chosen 'fit' this compelling goal so closely that there is little or no possibility that the motive for the classification was illegitimate racial prejudice or stereotype.").

[18] *Supra* note 4, at 21.

[19] Kim, P. (2017). Auditing Algorithms for Discrimination. 166 Univerity of Pennsylvania Law Review, 191-191.

[20] *Supra* note 10.

[21] *Supra* note 10 at 16.

[22] Lehr, D. & Ohn, P. (2017). Playing with the Data: What Legal Scholars Should Learn About Machine Learning. 51 UC Davis Law Review, 653-670.

[23] Ilyas, A., Santurkar, S., Tsipras, D., Engstrom, L., Tran, B., & Madry, A. (2019). Adversarial examples are not bugs, they are features. Advances in neural information processing systems, 32.

This threat is amplified further by three unique features of AIETs. First, biases are entrenched due to the lack of transparency, leading to ineffective accountability structures.[24] Preliminarily, applicants may not be aware that they are subject to evaluation from AIETs and possibility that they have been discriminated against. Applicants who do suspect that they have been subject to unlawful discrimination are unlikely to have any prima facie evidence of the breach.[25] Crucially, the selection criteria of the AIETs is in the hands of the AIET which is reluctant to produce the information[26] and can hide behind intellectual property laws.[27] The lack of evidence is already a leading cause in applicants' claims failing against AIETs.[28] Second, these biases become more widespread due to the monopolistic nature of the AIET market – over one third of the Fortune 100 companies use the same automated candidate screener.[29] This means that a bias might deprive an applicant of opportunities from several employers. This is further aggravated by applicants' lack of control over the portability of data captured by AIETs – their data might be retained and used for various employers.[30] Third, biases might be replicated even across different AIETs due to homogenisation of training data sources for AIETs. This is a result of (a) personal data restrictions faced for training AIETs and (b) the availability of cheap datasets.[31]

C. Preventing threats using the Law

Despite attempts to technically resolve these issues, they are still the reality. The continued framing of algorithmic bias as a technical rather than legal problem will stymie efforts to solve the problem[32] since most biases stem not only from the technology but also existing societal biases.

In the context of AIETs where fundamental rights are threatened, regulations should not be viewed as stifling innovation but a mandatory baseline for technological innovations can flourish. In any case, AIETs that infringe on equal employment opportunities cannot truly be said to be innovations that improve our lives.

IV. Comparing the AIA and the NY Law

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[24] Yang, J. (2021). Adapting Our Anti-Discrimination Laws to Protect Workers' Rights in the Age of Algorithmic Employment Assessments and Evolving Workplace Technology, ABA Journal of Labor & Employment Law Vol. 35 No. 2, 207-225 at 208.

[25] *Supra* note 17 at 22.

[26] Ajunwa, I. (2021). An Auditing Imperative for Automated Hiring Systems. Harvard Journal for Law & Technology Vol 34, 622-671.

[27] Oversight – Ethical Implications of Using Artificial Intelligence and Automated Decision Systems: Hearing Before the New York City Council Committee on Technology (N.Y., Nov. 13, 2020) at 86.

[28] See *Gladden v. Bolden,* 802 F. Supp. 2d 209 where the Court dismissed the case due to insufficient evidence. See also *Vazirabadi v. Denver Health & Hosp*. Auth., 140 S. Ct. 2568 where the Court found that allegations were solely on conjecture.

[29] Scarpetta, S. (2021). Artificial Intelligence and Labour Market Matching. OECD Working Papers. https://one.oecd.org/document/DELSA/ELSA/WD/SEM(2023)2/en/pdf

[30] *Supra* note 27 at 682.

[31] *Supra* note 4 at 16.

[32] *Supra* note 15 at 1671.

A. Outcome-Focused and Governance-Focused Regulations

The main feature of the NY Law is the requirement of a bias audit, investigating the disparate impact of applicants in protected classes, conducted annually by a third party with a summary to be published on the employer's or employment agency's website.[33] In contrast, under the EU AIA, AIETs, which are classified as high-risk systems[34] are only permitted to be deployed in the EU market if they successfully withstand an ex-ante conformity assessment[35] by showing that it complies with requirements[36] such as establishing a risk management system and technical documentation.

(a) True Nature of the NY Law

At first blush, it might seem that the difference between the EU and NY regulations is one of timing – ex-post and ex-ante respectively. Several commentators have characterised the NY Law as mere ex-post disclosure which relies on marketplace discourse and the AIA as an ex-ante government approval regime. Hence, several detractors of the NY Law base their critics on the view that beyond publishing the bias audit results, employers have no additional obligations should actual bias be found in the system. In other words, AIETs do not have to "pass" the audit.[37] Accordingly, they highlight that even if the audit indicates direct or indirect discrimination along protected classes of persons, AIETs do not have to be taken down,[38] placing the burden on applicants to take legal action for any recourse. Yet, the NY Law fails to improve the accountability structure of AIETs since lay applicants are unlikely to be able to evaluate the disclosed models (which can be technical) and hence are unlikely to take legal action.[39] Furthermore, even if legal action is taken, applicants still face an uphill battle. Besides the significant costs of litigation, empirical studies have shown that judges are often deferent to employers and might operate under the assumption that such claims are without merit[40]. Furthermore, the requirement for employers to include a notice to inform applicants on how they can request an alternative selection process before evaluation by an AIET is toothless without mandating that employers actually provide the alternative process.[41] Hence, these detractors favour the ex-ante approach promulgated by the AIA which prohibits AIETs which are not in full compliance with regulations from being deployed, serving as a more effective shield for applicants.

However, a closer look at the specific wording of the NY Law and its legislative history shows that this is a mischaracterisation of the regime which was envisioned to stymie bias in and of itself as opposed to relying merely on legal action. Crucially, the NY Law requires a bias audit to include testing the AIET for

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[33] Subchapter 25, §20-871 of NY Law 2021/144.

[34] See Annex III, s 4(a) of the AIA which includes "AI systems intended to be used for recruitment".

[35] Article 44 of the AIA.

[36] Chapter 2, Article 9 to 15 of the AIA.

[37] *Supra* note 2 at 207.

[38] Cumbo, L. (2021). Letter to Council Member Cumbo on Amending Intro 1894-2020. The Surveillance Technology Oversight Project. https://www.stopspying.org/sign-on-letters/2021/4/22/letter-to-council-member-cumbo-on-intro-1984-2020-the-need-for-a-moratorium

[39] *Supra* note 10.

[40] Parker, W. (2006). Lessons in Losing: Race Discrimination in Employment. 81 Notre Dame Law Review, 889, 893. https://scholarship.law.nd.edu/ndlr/vol81/iss3/4

[41] See §20-871 of the NY Law 2021/144.

its "disparate impact on persons" in protected categories.[42] This explicit use of the legal standard for indirect discrimination is likely to intentionally link the disparate impact violation of Title VII of the Civil Rights Act to AIET assessments of applications, even though they have been argued to be an ill fit in the past[43]. Under this law, employers are prohibited from using facially neutral employment practices that have an unjustified adverse impact on a protected class. Since discrimination merely has to appear in its effect rather on its face[44] and intention to discriminate is also not required[45], the bias audit is on all fours with this law. Additionally, additional rules have been promulgated by the Department of Consumer and Worker Protection ("**DWCP**") for the bias audit to calculate the selection rate and impact ratio of protected classes.[46] These calculations are the very standards that Courts will consider when determining if there has been indirect discrimination. Hence, in reality, the main force of the NY Law comes from AIET providers "pushing [them]self to … really look at all forms of bias" before the audit so they are exposed to legal liability.[47] This explains why although the NY Law does not explicitly mandate specific actions by employers when the audit does reveal bias, employers are reminded that they must comply with the relevant anti-discrimination laws prior to publishing the audit results.[48] The resistance from AIET providers and employers to publish audit results[49] is a tell-tale sign that employers are well aware and motivated by potential legal liability. This should be commended since it instigates AIET providers to reduce bias prior to disclosing the audit. The NY Law should also be applauded for the strict requirement for notice to be given to an applicant which is being evaluated by an AIET.[50]

Given that both approaches instigate action before the deployment of the AIET, the difference between the NY Law and AIA approaches are better described as outcome-focused and governance-focused respectively. In this respect, I contend that both approaches act complementarily, and are both needed to effectively protect applicants from threats to equal employment opportunities.

(b) Importance of both approaches

The NY Law's bias audit evaluates the outcomes of the AIET being applied. This approach is particularly effective for addressing indirect discrimination which focuses whether the AIET disproportionately screens out protected groups[51] as opposed to the reasons behind such trends. This allows the provider to engage in self-examination and to revise its processes to eliminate implicit biases.[52] Moreover, since the Court makes

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[42] See §20-870 of the NY Law 2021/144.

[43] Selmi, M. (2006). Was the Disparate Impact Theory a Mistake? 53 UCLA Law Review, Vol 701, 705, 705.

[44] Fick, B. (1997). American Bar Association Guide to Workplace Law. https://scholarship.law.nd.edu/law_books/158

[45] *Griggs v. Duke Power Co.*, 401 U.S. 424, 91 S. Ct. 849, 28 L. Ed. 2d 158 (1977)

[46] NYC Department of Consumer and Worker Protection Final Rules for Law 144/2021. NYC Department of Consumer and Worker Protection. https://rules.cityofnewyork.us/wp-content/uploads/2023/04/DCWP-NOA-for-Use-of-Automated-Employment-Decisionmaking-Tools-2.pdf.

[47] *Supra* note 28 at 81.

[48] Automated Employment Decision Tools: Frequently Asked Questions. NYC Department of Consumer and Worker Protection. https://www.nyc.gov/assets/dca/downloads/pdf/about/DCWP-AEDT-FAQ.pdf.

[49] New York City AI Law Is a Bust. Society for Human Resource Management. https://www.shrm.org/topics-tools/news/technology/new-york-city-ai-law.

[50] § 20-871 of the NY Law.

[51] *Supra* note 28 at 81.

[52] *Supra* note 20 at 197.

the final ruling on whether the AIET is actually in breach of indirect discrimination, mere misinterpretations of the audit by applicants is unlikely to go far without the backing of a Court judgement. In any case, employers concerned with public reputation will be prompted to actively roll-out measures to assure prospective applicants, strengthening the very purpose of the law. Notably, bias audits have been criticised for merely looking at inputs and outputs since it "tells an analyst very little about why differential behaviour was observed"[53] and skirts around the issue of "explainability"[54]. Without evidence that a decision is based on a protected trait, direct discrimination cannot be established. Respectfully, there is no need to throw the baby out with the bathwater since audit can still expose AIETs to liability under indirect discrimination. Furthermore, direct discrimination is already dealt with by prohibiting requests for data on protected traits in applications[55].

Despite its strengths, an inherent difficulty of the audit bias is in revealing cases of systematic arbitrariness since such bias is not picked up by an audit along the lines of protected classes. For example, if the training data from an AIET conducting video interviews arbitrarily rejects applicants with straight eyebrows and small noses and this AIET is used by several employers, these people would be systematically deprived of equal employment rights.

Since it is difficult to detect systematic arbitrariness based on a bias audit, the AIA's governance-focused approach can fill this gap by prescribing a governance framework that prevents the issue from arising. Crucially, the conformity assessment mandates that training data sets meet the quality criteria including an assessment of the suitability of the data set and examination of possible biases prior to deployment.[56] These measures would prevent the widespread use of an unchecked data set, the very cause of systematic arbitrariness. The AIA also mandates appropriate risk management systems and transparency, also guarding against indirect and direct discrimination.

However, a weakness of the AIA is that it lacks checks and balances since how providers ensure compliance with the AIA is not disclosed to the public.[57] Furthermore, employers only have to affix a CE marking the AIET which not all applicants may recognise and inform applicants that they are interacting with an AI system if it is "not obvious", allowing the employers themselves to exercise discretion on when notice should be given.[58] This is concerning since there is a risk of adversarial behaviour by the AIET providers which will find themselves wedged between the benefits of innovation and social responsibility and may not act ethically in the absence of oversight.[59]

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[53] Kroll, J. et al. (2017). Accountable Algorithms. 165 Univerity of Pennsylvania Law Review, 633-657.

[54] Why Everyone is mad about New York's AI Hiring Law. MIT Tech Review. https://www.technologyreview.com/2023/07/10/1076013/new-york-ai-hiring-law/.

[55] Pre-Employment Inquities and Race. US Equal Opportunity Commission. https://www.eeoc.gov/pre-employment-inquiries-and-race.

[56] Chapter 2, Article 10 of the AIA.

[57] See Article 48 of the AIA, the declaration of conformity only needs to be given to the relevant national authorities.

[58] Title IV of the AIA.

[59] Lee, T. (2018). Detecting racial bias in algorithms and machine learning. Journal of Information, Communication and Ethics in Society. Journal of Information, Communication and Ethics in Society, 252–260. https://doi.org/10.1108/JICES-06-2018-0056

The AIA's governance-focused approach only prevents bias from arising based on best practices and cannot expose providers if they unlawfully discriminate against applicants. Hence, it may not instigate providers to reduce bias. While a governance-focused approach is preferable for undetectable systematic arbitrariness, it is less effective than outcome-focused approaches for indirect discrimination since disclosure can directly thwart these breaches. Additionally, imposition of technical standards on training data and interface tools[60] will be more effective in averting bias stemming from technology compared to those from wider societal norms.

This concern can be mitigated by post-market monitoring obligations of providers of AIETs[61] which mandate providers to report serious incidents or any malfunctioning that constitute a breach of Union law.[62] In theory, this has a similar effect to the NY Law at an even wider scope. However, it is suggested that in practice, it is unlikely to achieve the same intended effect. The aspirational high standard of the requirement reflects a reluctance of the EU in fully committing to an auditing-ecosystem (unlike the one envisioned by the NY Law).[63] The lack of pressure placed on providers to reduce bias using disclosure is therefore a legitimate gap in the AIA.

Ultimately, both the outcome and governance-based approaches are complementary and are required to combat the distinct threats, of indirect discrimination and systematic arbitrariness, to equal employment opportunities that arise in the wake of AIETs.

B. Level of Specification

Another difference between the general regime promulgated by the NY Law and the AIA is the level of specification. The NY Law is a brief four-page document while the AIA is a hefty document with hundreds of pages, several articles applying specifically to high-risk AI systems like AIETs.

The NY Law favours flexibility, taking on an open-ended approach. The law does not specify what the "bias audit" should examine[64] beyond stating that the audit "shall include but not be limited to … assess[ing] the tool's disparate impact on persons", leaving the specifics of the audit to be determined by market forces. The NY law also mandates the audit be carried out by an independent auditor without hard requirements for expertise and independence of auditors.[65] In theory, promulgating open-ended regulations can be preferable given that the AI field is immature[66] and there is no consensus on AI auditing standards.[67] This

[60] Article 10 and 14 of the AIA.
[61] Article 61 of the AIA.
[62] Article 62 of the AIA.
[63] Mökander, J., Axente, M., Casolari, F., & Floridi, L. (2022). Conformity assessments and post-market monitoring: a guide to the role of auditing in the proposed European AI regulation. Minds and Machines, 32(2), 241-268 at 24-25.
[64] *Supra* note 2 at 206.
[65] *Supra* note 2 at 207.
[66] Grotto, A. (2022). Audit of AI Systems: Overview, Current Status, and Future Prospects. https://www.regulations.gov/comment/FTC-2022- 0053-0906.
[67] BSA Comments on the New York City Department of Consumer and Worker Protection's Revised Proposed Rules Implementing Local Law 144. The Software Alliance. https://www.bsa.org/policy-filings/us-bsa-comments-on-the-new-york-city-department-of-consumer-and-worker-protections-revised-proposed-rules-implementing-local-law-144.

approach would prevent the lack of qualified auditors, reducing the burden on employers. Furthermore, it ensures that arbitrary standards that could later backfire, are not prematurely adopted.

However, the open-ended nature of the NY Laws were heavily criticised as making it challenging, if not infeasible, to use any algorithmic tools to review, select, rank or eliminate candidates for employment or protection.[68] Furthermore, it can create confusion for employers to implement AIETs fairly.[69] Indeed, the DWCP has since responded to these criticisms, promulgating the Final Rules for implementing the NY Law.[70] The rules clarified requirements for the bias audit, specifying that it must at minimum calculate the selection rate and impact ratio for specified categories[71] and respective formulas that must be applied[72]. It also clarified independence requirements for auditors.[73] Yet, a major omission in the current legal framework is the level of specification required for the summary of the bias audit that is to be made publicly available.[74] Additionally, the Final Rules also do not specify how employers should account for applicants who do not disclose their race, ethnicity or gender.[75] A lack of clarity on disclosure standards is particularly unfortunate for the NY Laws given that the force of an outcome-focused regulation is contingent on what is disclosed. As expected, employers in New York who have been given discretion on what they have to disclose have removed less favourable statistics, leaving beaming statistics of equal employment opportunities which paint a warped reality.[76]

These criticisms suggest that the AIA's comparatively detailed approach, for both its conformity assessment and post-market monitoring requirements, will be preferred since it reduces the discretion given to providers of AIETs. However, critics argue that a more detailed approach in the AIA is the risk of presumptively creating arbitrary requirements that lead to unintended results, falling into the same pitfall as the General Data Protection Regulation ("**GDPR**"). For example, to comply with the GDPR, the Internet Corporation for Assigned Names and Numbers allowed registries to obscure query information, such as IP addresses, which unintentionally undermined efforts to combat unlawful activity online, contradicting the very purpose of the GDPR.[77] Nevertheless, these concerns are unlikely to be transplanted onto the AIA. A closer look shows that AIET providers are given wide discretion when implementing measures. This includes ensuring that the AI system is *sufficiently* transparent to enable users to use outputs *appropriately*[78], designing the AI system with *appropriate* human-machine interface tools[79] and ensuring that AI system has

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[68] Freedberg, E., et al. (2021). New York City Enacts Law that Hinders Use of Automated Tools in Hiring and Promotion Decisions. Littler Mendelson P.C.

[69] *Supra* note 2 at 206.

[70] *Supra* note 47.

[71] *Supra* note 47 at §5-301.

[72] *Supra* note 47 at §5-300 on the definition of "Impact Ratio" and "Selection Rate".

[73] *Supra* note 47 at §5-300 on the definition of "Independent Auditor".

[74] See *supra* note 47 at §5-303. See also *supra* note 68.

[75] *Supra* note 68.

[76] Wright, L. (2024). New Analysis finds few companies following NYC AI Hiring Law. Cornell News. https://news.cornell.edu/media-relations/tip-sheets/new-analysis-finds-few-companies-following-nyc-ai-hiring-law

[77] Layton, R. (2019). The 10 Problems of the GDPR. The US can learn from the EU's mistakes and leapfrog its policy. Statement before the Senate Judiciary Committee On the General Data Protection Regulation and California Consumer Privacy Act: Opt- ins, Consumer Control, and the Impact on Competition and Innovation.

[78] Article 13 of the AIA.

[79] Article 14 of the AIA.

an *appropriate* level of accuracy[80]. Post deployment, providers must keep logs for an appropriate amount of time in light of the intended purpose of the AI system.[81] Achieving an open-ended regulation was the intention of the regulators who were aware that this was an "early phase of regulatory intervention and … the AI sector is very innovative and expertise for auditing is only now being accumulated"[82].

Similar to the NY Law, the open-ended nature of the AIA has been criticised for being too vague. Turning first to outcome-focused post-market monitoring regulations, vagueness would lead to the same issue faced in the NY Laws – any disclosure requirements would lose all force if providers were given discretion on what to disclose. For example, the AIA requires providers to report *serious* incidents or malfunctioning of systems which constitute a *breach under Union law* protecting fundamental rights to market surveillance authorities.[83] Such a vague regulation essentially gives providers themselves discretion on what would constitute a "serious incident" and a "breach of Union law" which naturally are likely to be reluctant to disclose any potential legal liability. Next, critics also argue that vague standards in conformity assessments lead to confusion[84] amongst providers that may instigate them to resort to blind overregulation or completely exiting the AIET market.[85] However, I assert that these concerns are overstated in the context of conformity assessments. Conversely, an open-ended approach for a governance-focused conformity assessment is unlikely to elicit such responses since providers can work with regulators to discuss appropriate measures to be implemented. Such a discursive approach to also comports with the aforementioned language in AIA provisions that allow for discretion. This is preferable for a governance-approach since they should be developed step-by-step alongside the quickly changing AIET market. Naturally, this is contingent on ensuring conducive discussions and a tight feedback loop between AIET providers and regulators.

One area for improvement in the conformity assessments is to revaluate overly idealistic abstract standards that cannot be translated into operational terms, such as mandating the data sets be "free of errors". These regulations are likely to be diluted into mechanical box-ticking exercises[86] and might even undermine the legitimacy of the framework as a whole[87].

Ultimately, the appropriate level of specificity will differ for outcome-focused and governance-focused regulations. For outcome-focused regulations like the NY Law's bias audit and AIA's post-market reports, specificity on the disclosure requirements is fundamental to its mechanism. Contrastingly, for governance-focused regulations, a more flexible approach is preferable to avoid presumptuous requirements which give rise to unintended consequences.

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[80] Article 15 of the AIA.

[81] Article 20 of the AIA.

[82] Explanatory Memorandum in the Proposal for Regulation of the European Parliament and of the Council, Laying Down Harmonised Rules on AI (AI Act) (2021).

[83] Article 62 of the AIA.

[84] Conformity Assessments and Post-market Monitoring: A Guide to the Role of Auditing in the Proposed European AI Regulation

[85] Layton, R. (2019). The 10 Problems of the GDPR. The US can learn from the EU's mistakes and leapfrog its policy, Roslyn Layton, Statement before the Senate Judiciary Committee On the General Data Protection Regulation and California Consumer Privacy Act: Opt- ins, Consumer Control, and the Impact on Competition and Innovation.

[86] *Supra* note 64 at 18.

[87] Power, M. (1997). The audit society: Rituals of verification. Oxford University Press.

C. Internal and External Audit

Another main difference in the approach envisioned by the NY Law and EU AIA is the party which conducts the audit. In the NY Law, it is specified that the bias audit should be completed by an impartial evaluation by an independent auditor.[88] In contrast, per the AIA, providers of AIETs can either conduct the conformity assessment (a) based on internal control (if they are fully compliant with the harmonised standards), or (b) involve a notified body as a third-party auditor[89] if they are not fully compliant with the standards. Additionally, post-market regulations in the AIA are also driven by internal monitoring of the AIET provider.

Several commentators have championed the internal audit approach proffered in the AIA's conformity assessment since AIETs are in the early phase of regulatory intervention and auditing expertise is only now being accumulated.[90] While auditing standards underpinning notable certifications have developed in areas like privacy and cybersecurity, creating trust and accountability in the marketplace, there is a lack of consensus for AI auditing standards.[91] They emphasise that without professional organisations to train third-party auditors for AI systems, it is not feasible to conduct third-party audits. Internal audits can also be more effective since auditors have access to internal processes of the audited organisations, enabling them to contextualise audits.[92]

However, these proponents fail to address the principal difficulty of internal audits – acute conflicts of interests. Crucially, if AIETs are not open to external review, there is no way to validate their own claims of fairness.[93] This phenomenon has been labelled as techwashing. Most incriminatingly, proponents of internal auditing consist mostly of AIET providers and employers using AIETs strongly support internal auditing.[94] History has also revealed self-certifying companies in other fields that were later revealed to be engaging in harmful practices.[95] It is feared that allowing profit-driven AIET providers and employers to conduct these checks would usurp the role of the conformity assessment and post-market monitoring as checks and balances, further compounding the AIA's weakness in increasing transparency. Additionally, providers can affix the affix the CE marking[96] and register[97] the AIET in the EU database after an internal assessment[98] without further substantive assessments unless they receive a specific request from the

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[88] §20-870 of the NY Law 2021/144.

[89] Article 43(1) of the AIA.

[90] *Supra* note 83.

[91] *Supra* note 68.

[92] Raji, I., et al. (2020). Closing the AI Accountability Gap: Defining an End-to-End Framework for Internal Algorithmic Auditing. In Conference on Fairness, Accountability, and Transparency. . https://doi.org/10.1145/3351095.3372873

[93] *Supra* note 20 at 660.

[94] See *supra* note 68. See also Comments by CTO of HireVue at *supra* note 27 at 660.

[95] Rosenbaum, E. (2018). Silicon Valley Is Stumped: Even A.I. Cannot Always Remove Bias from Hiring. CNBC. https://www.cnbc.com/2018/05/30/silicon-valley-is-stumped-even-a-i-cannot-remove-bias-from-hiring.html

[96] Article 48 of the AIA.

[97] Article 51 of the AIA.

[98] Article 16(a) of the AIA.

authority.[99] This gives applicants false assurance that AIETs have been thoroughly audited for bias, making them less likely to perceive discrimination.

On this note, the AIA should be praised for mandating a third-party audit if the AIET is not fully compliant with standards[100], introducing a much needed external audit element. However, this is of limited comfort. A closer consideration of the AIA's envisioned regime reveals that the scope of external audits is circular – providers can internally determine that the AIET is compliant, easily evading the need for the notified bodies' external audit. Since providers can legally exercise this discretion, commentators have predicted that for most AIETs will elect to fulfil conformity assessments internally.[101]

Even if a notified body does conduct the conformity assessment, issues of conflict are still anticipated. Advocates of the governmental certifying system in the AIA will applaud its ability to provide uniformity in the practice of automated hiring.[102] Nonetheless, this benefit is unlikely to justify issues of regulatory capture where top officials in regulatory agencies are politically motivated and are influenced by industries, unions or alliances, rendering such agencies toothless.[103] This concern is not just speculative. It is a widespread reality in BigTech, where lobbyists for major technology companies have admitted to intentionally getting personable with regulators to influence their views on contentious issues like digital trade.[104]

The NY Law hence provides a refreshing alternative by mandating independent audits, addressing concerns on incentives for accuracy in self-reporting[105]. It is admitted that even independent audits are not immune to capture since auditors will derive an economic benefit from certifications and might devolve into mere rubber-stamping entities without adequate teeth to deliver any unfavourable audits.[106] However, it is argued that this concern is less pertinent in the context of AIETs, since auditors would operate on the trust of job applicants. Hence, auditors are incentivised to provide objective audits since applicants can whistle-blow on any misconduct, undermining certifying marks that do not hold true.

Furthermore, concerns about the lack of widely-accepted standards for AIETs are misplaced. Critically, it is unclear how internal audits would be preferable considering the lack of standards, which would instead lead to a hodgepodge of incommensurable audits. In this circumstance, prescribing internal audits to employers would cause standards to be shaped by conflicted employers[107], developing a body of standards that serve profit-making interests of employers while guising as a regulatory tool to protect job applicants.

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[99] Article 16(j) of the AIA.

[100] Article 43(1) of the AIA.

[101] *Supra* note 64 at 23.

[102] Desai, D. & Kroll, J. (2017). Trust but Verify: A Guide to Algorithms and the Law, 31 Harvard Journal for Law and Technology, 42-55.

[103] *Supra* note 27 at 669.

[104] Li, W. (2023). Regulatory capture's third face of power. Socio-Economic Review, Volume 21, Issue 2, 1217–1245. https://doi.org/10.1093/ser/mwad002.

[105] Brundage, M., Avin, S., Wang, J., Belfield, H., Krueger, G., Hadfield, G., et al. (2020). Toward trustworthy AI development: Mechanisms for supporting verifiable claims. ArXiv. http://arxiv.org/abs/2004.07213

[106] *Supra* note 27 at 671.

[107] See Bazerman, M., et al. (2002). Why Good Accountants Do Bad Audits. Harvard Business Review. on how corporate audits devolved into a mere mouthpiece for companies.

In contrast, external audits shift this responsibility to third party auditors that are incentivised to maintain trust from job applicants. The lack of auditors is also speculative. In the short time the NY Law was in force, several entities, such as FairNow[108] and ConductorAI[109], have provided auditing services showing that there is expertise that merely needs to be tapped on by creating a market for auditors.

Based on the foregoing analysis, independent checks are vital as an effective check and balance for AIETs. While it is admitted that internal audits are effective to develop governance standards since they can consider internal processes, empty assurances should not be handed to applicants prior to effective checks.

D. Scope

Briefly, the scope of the regulation must adequately encompass AIETs that pose a risk to equal employment opportunities. This highlights a major shortfall of the NY Law which only applies to tools "used to *substantially assist or replace discretionary decision making* for making employment decisions", giving employers unlimited discretion to decide if the AIET falls into its scope. Unsurprisingly, 6 months after the start of enforcement of the NY Law, only 18 of 391 companies disclosed any information[110], limiting outcome-focused audits in strengthening accountability structures. More insidiously, it might usurp the effect of the law even for companies that do comply since applicants can no longer tell if an employer is uncompliant or if they merely fall beyond the scope of the NY Law.

Hence, the AIA which regulates AI systems "intended to be used for recruitment" is preferable.[111] Besides being more encompassing, it is particularly laudable that it is clear and does not grant providers extensive discretion.

V. Conclusion

When an opaque black box has the power to dictate the economic realities of millions of people, its creators and beneficiaries cannot be allowed to hide behind it and avoid liability especially for transgressions of fundamental rights. Regulating AIETs is a highly contested issue since its impacts are already being felt by the common man, sprawling far beyond the four walls of this paper that focuses on the regulatory mechanisms. Other salient issues include the enforcement framework, powers of authorities for future complementary rulemaking and costs to comply with regulations.

It is hoped that this paper can shed light on the divergence in regulatory mechanisms elected by these two first movers on AIET Regulation and bring up pertinent issues. Ultimately, with several other regulators taking heed, we should be optimistic that with the right safeguards, we can reap the benefits that AIETs bring while remaining a firm grip on fundamental rights.

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[108] *Supra* note 50.

[109] See NBC Universal's Bias Audit conducted by ConductorAI, https://cdn.lawreportgroup.com/acuris/files/cybersecurity-law-report/NYC%20Audit%20Part%201%20NBC%20Universal%20Audit%20by%20ConductorAI.pdf

[110] *Supra* note 77.

[111] Annex III of the AIA.